

US Consumer Dashboard: May 2026: Low Confidence

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- **Spending:** Spending has remained resilient, with real PCE growth tracking at a healthy 2.1% year-over-year pace through March. The [April retail sales report](#) was also strong, as headline retail sales increased by 0.5% and core retail sales increased by 0.5% in nominal and real terms (with positive revisions to March). We believe that the recent resilience in spending largely reflects an outsized boost from OBBBA-related tax cuts, and expect that [spending headwinds](#) from higher inflation will weigh on spending growth for the rest of the year. We therefore forecast below consensus spending growth in 2026H2 and 1.5% real spending PCE spending growth in 2026 on a Q4/Q4 basis (vs. 1.7% consensus).
- **Employment:** The labor market appears to have stabilized for now. Employment increased by 115k [in April](#), and the three-month average of payroll growth (+48k) and our estimate of the underlying pace of job growth (+51k) are close to our estimate of the [breakeven pace of job growth](#). In addition, the unemployment rate moved sideways at 4.3%. We expect that growth headwinds from the war in Iran will moderately slow job growth (GS forecast for 38k/month job growth for rest of 2026) and push up the unemployment rate to 4.6% by end-2026. We continue to see risks of more labor market weakening if higher energy prices create a larger drag on growth or AI-related job losses prove larger than expected.
- **Income:** Real disposable income growth is very weak, slowing by 0.8pp to 0.4% on a year-over-year basis and by 0.3pp to 0.2% on a 6-month annualized basis in March. While the boost from higher tax refunds and lower tax payments from the OBBBA appears to have provided an almost \$140bn boost to household income during the 2026 tax-filing season, we expect that higher energy prices will erode household spending power for the rest of the year, particularly for lower-income households that spend a larger share of their budget on food and energy. As a result, we forecast only 1.3% real income growth in 2026 on a Q4/Q4 basis (with growth of just 0.5% real income growth for the bottom income quintile), and see an even more challenging outlook for cashflow (adjusted for the timing of OBBBA-related boosts to tax refunds and reductions in tax payments) in 2026H2.
- **Wealth:** Household balance sheets are still strong, and the net worth-to-disposable personal income ratio remains near its all-time high, especially after the recent rebound in equity valuations. The saving rate declined

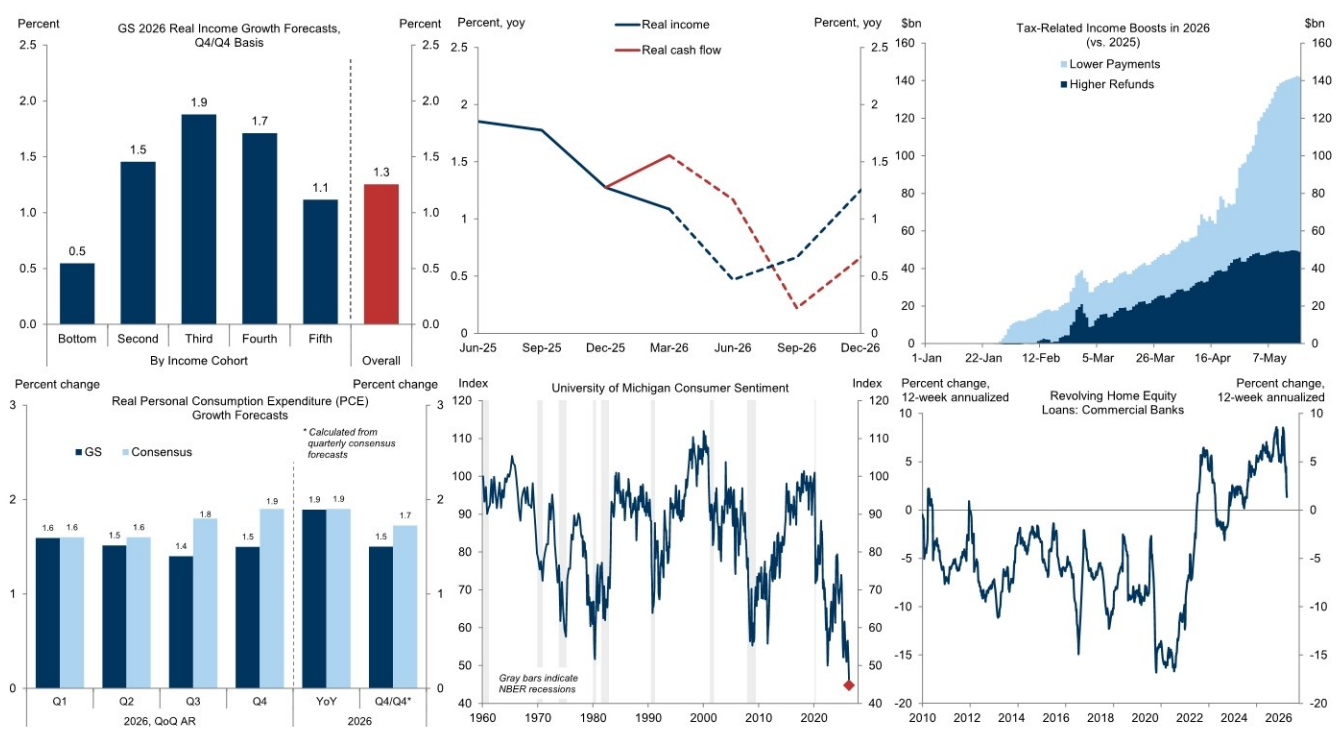
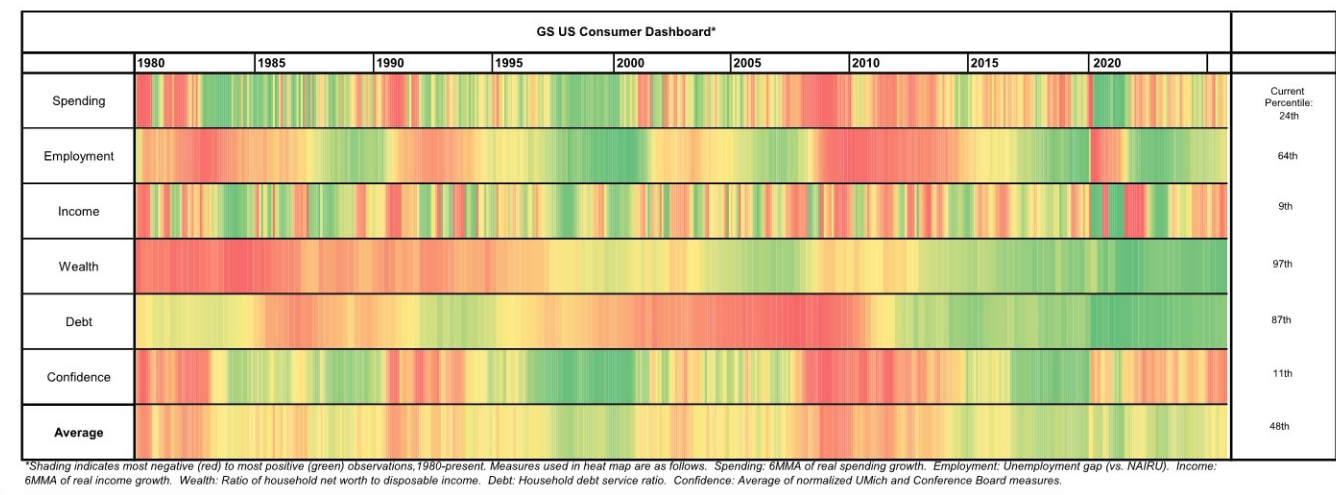
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by 0.3pp to 3.6% in March, but we forecast an increase to 3.9% by end-2026 and 4.3% by end-2027 on the back of a stronger precautionary saving motive.

- **Debt:** Consumer credit growth ticked up by 0.3pp to 2.6% on a year-over-year basis and by 0.5pp to 2.7% on a 6-month annualized basis in March—possibly reflecting an increase in credit utilization to smooth the energy price shocks—but home equity loan growth slowed significantly (+1.4% 12-week annualized average through May 13th). Although household leverage and debt servicing costs remain low by historical standards, 90+ day credit card and subprime auto loan delinquencies remain elevated relative to historical levels.
- **Consumer Confidence:** UMich consumer sentiment fell by 5.0pt to 44.8—its lowest level on record—while the Conference Board’s consumer confidence index decreased by 0.7pt to 93.1 in May. More timely measures of consumer sentiment, including the daily consumer sentiment measure from [Morning Consult](#) and our GS Social Media Economic Sentiment Index, also point to retrenchments in consumer confidence in recent weeks.

May 2026: Low Confidence

Exhibit 1: Our US Consumer Dashboard Points To Weak Income Growth and Consumer Confidence but Strong Balance Sheets

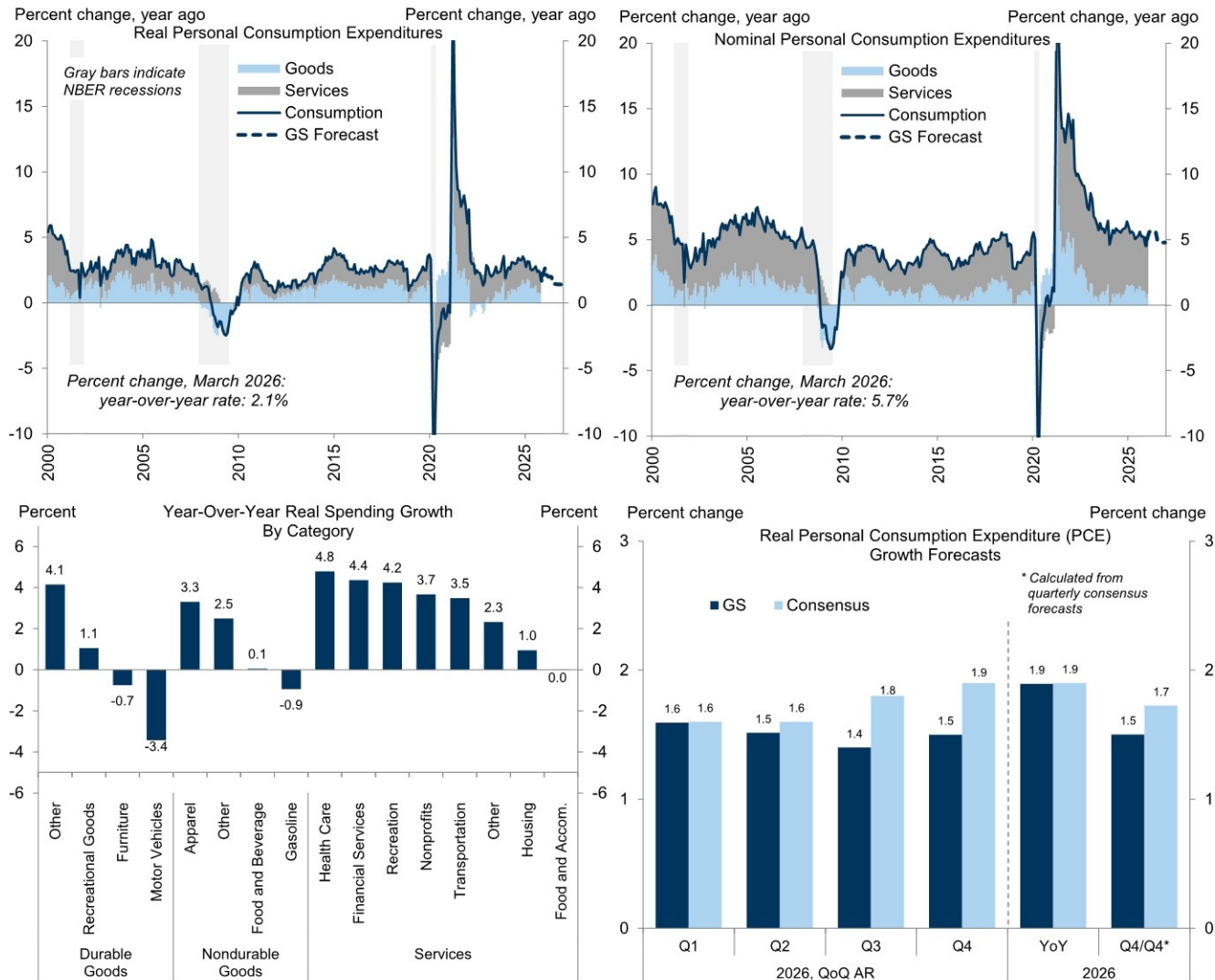


Source: Bureau of Economic Analysis, US Bureau of Labor Statistics, Federal Reserve Board, University of Michigan, The Conference Board, US Federal Reserve Bank, Goldman Sachs Global Investment Research, IRS, Morning Consult

Appendix

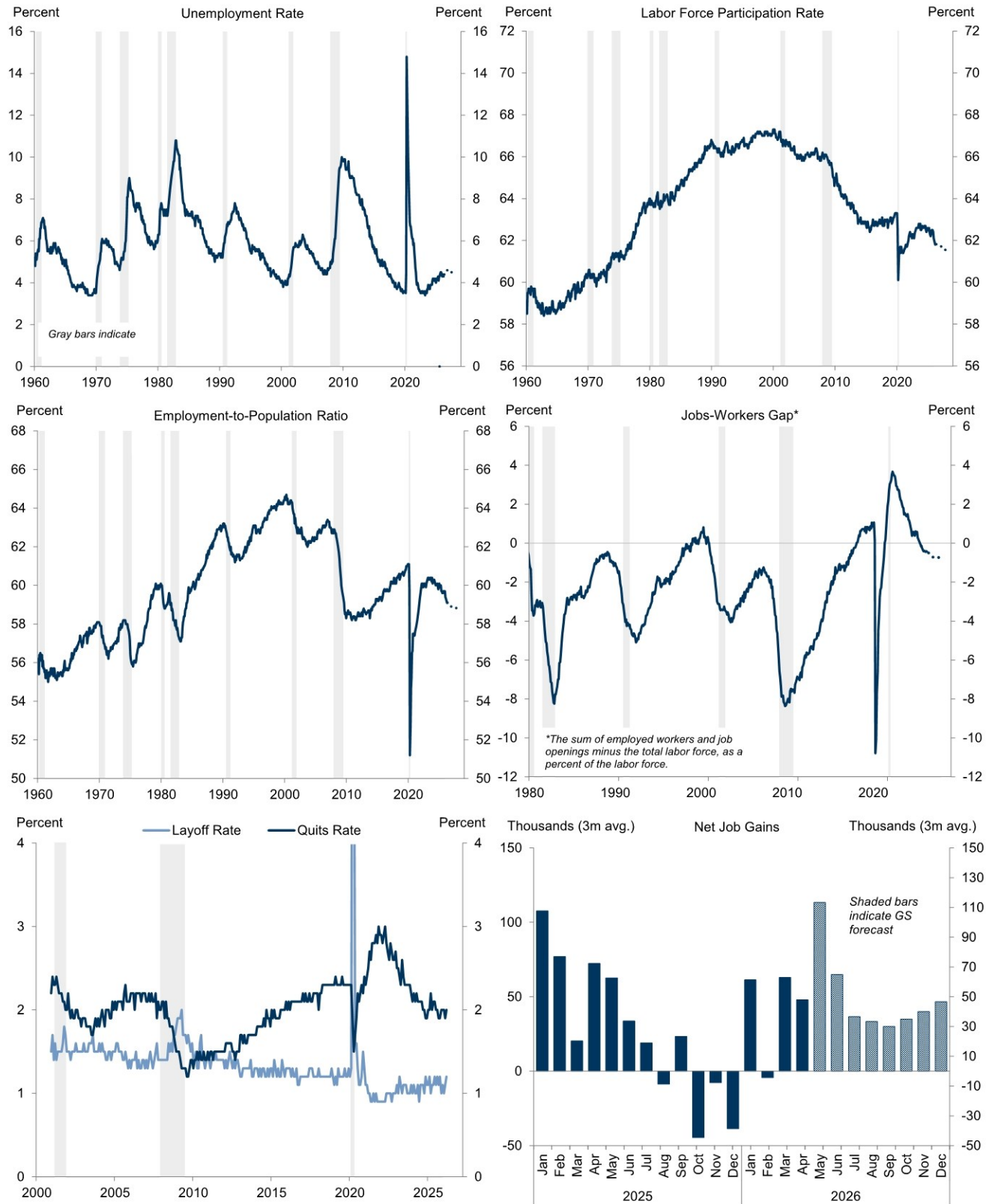
Spending

Exhibit 2: We Expect Softer Spending Growth in 2026H2



Source: Bureau of Economic Analysis, US Bureau of Labor Statistics, Goldman Sachs Global Investment Research, US Federal Reserve Bank

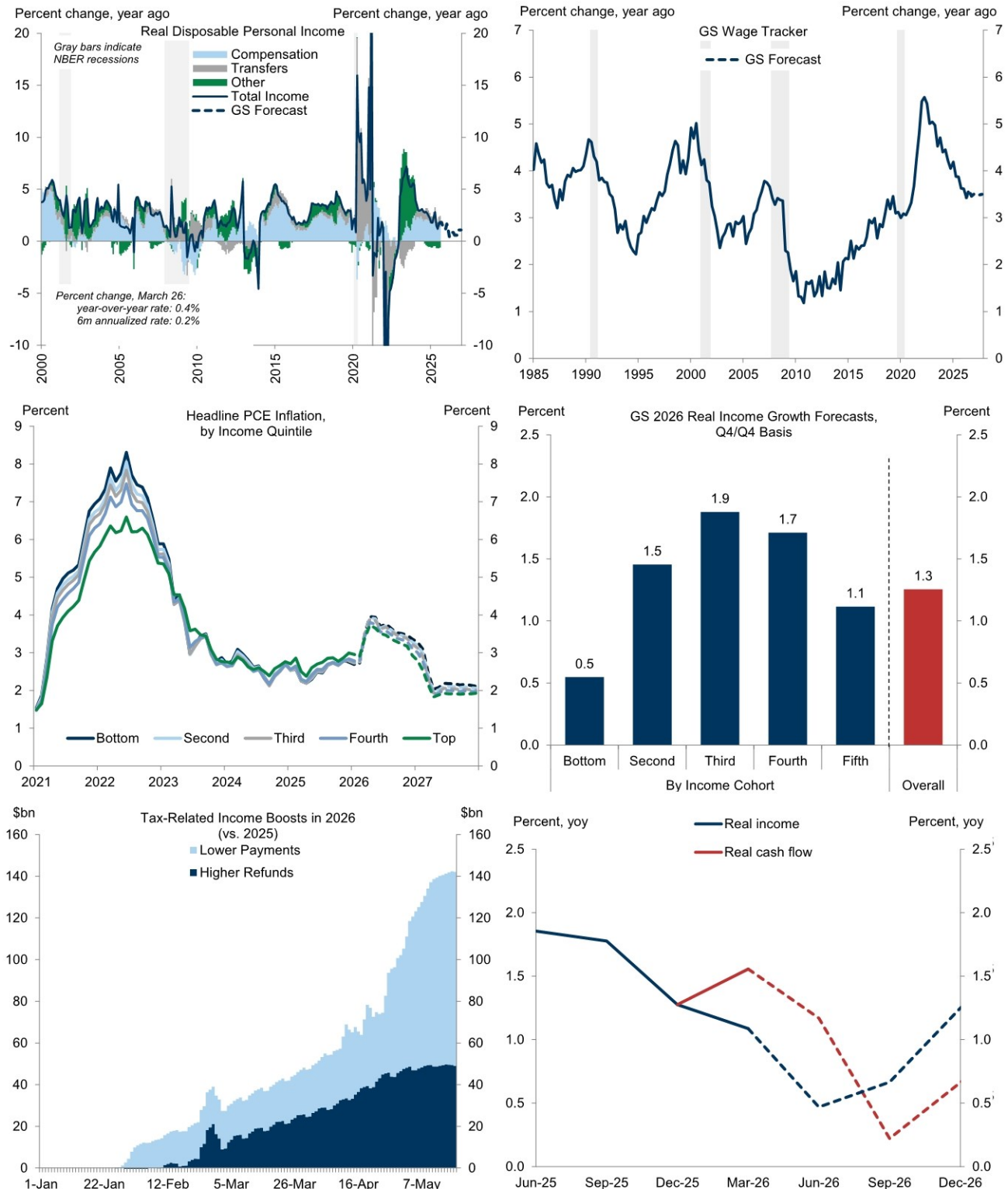
Labor Market

Exhibit 3: The Labor Market Appears to Be Stabilizing

Source: Bureau of Economic Analysis, US Bureau of Labor Statistics, Goldman Sachs Global Investment Research

Income

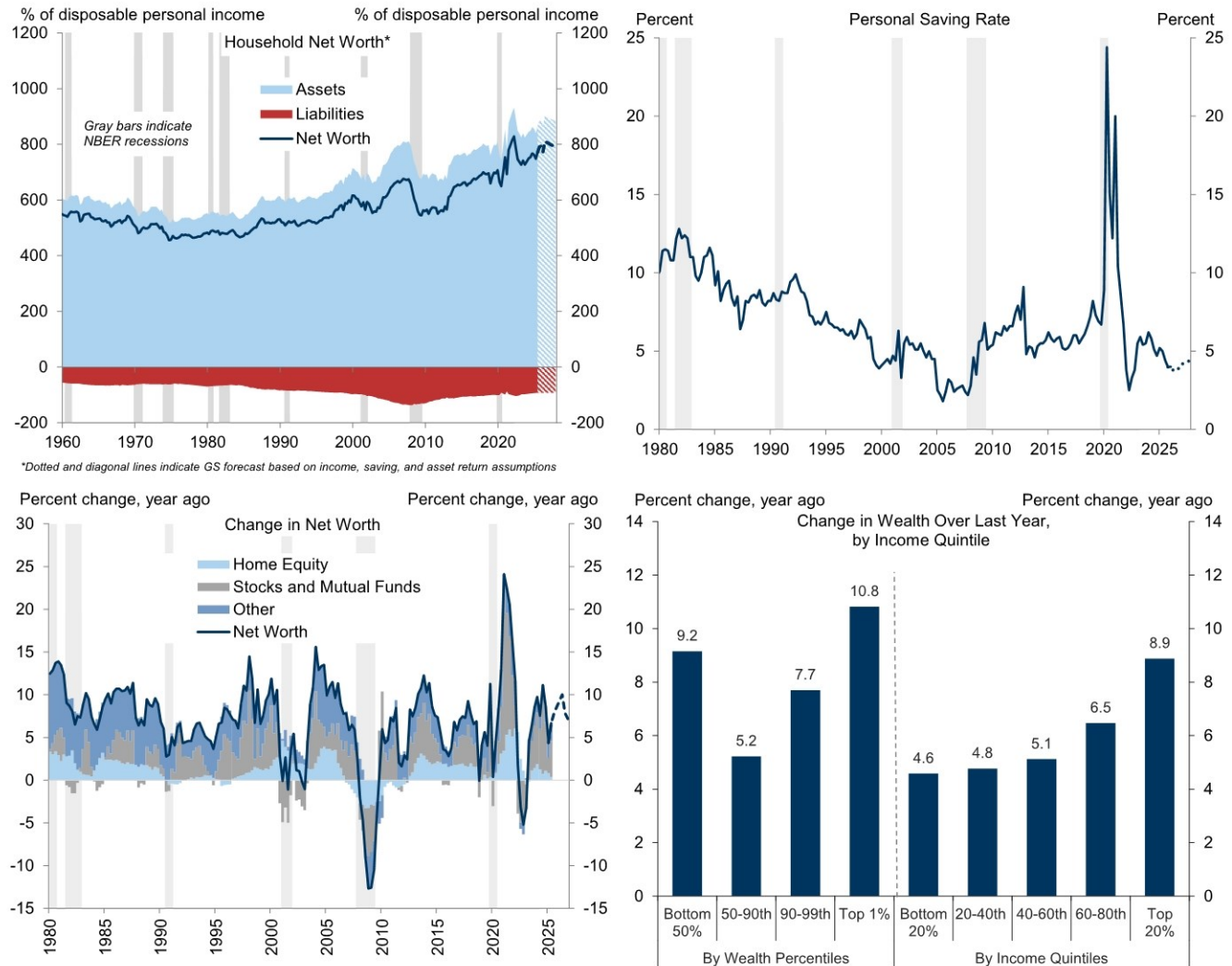
Exhibit 4: We Forecast Only 1.3% Real income Growth in 2026 Due to Energy Price Headwinds, With Significant Underperformance Among Lower-Income Households and Weak Cashflow Growth (Adjusted for Timing of OBBBA Tax Cuts) in 2026H2



Source: Bureau of Economic Analysis, Goldman Sachs Global Investment Research

Wealth/Balance Sheets

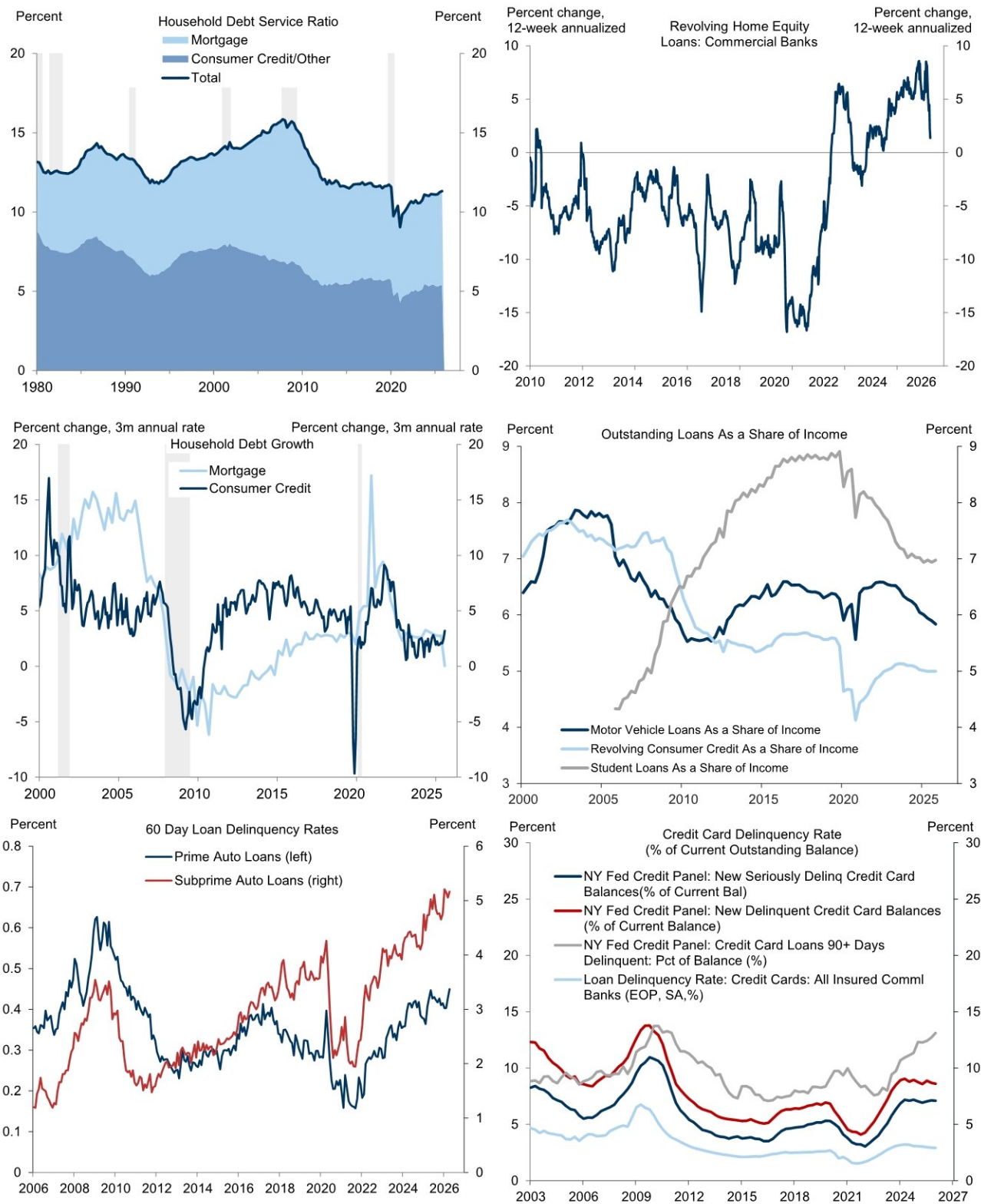
Exhibit 5: Household Balance Sheets Are Still Very Strong



Source: Bureau of Economic Analysis, US Bureau of Labor Statistics, Federal Reserve Board, Goldman Sachs Global Investment Research

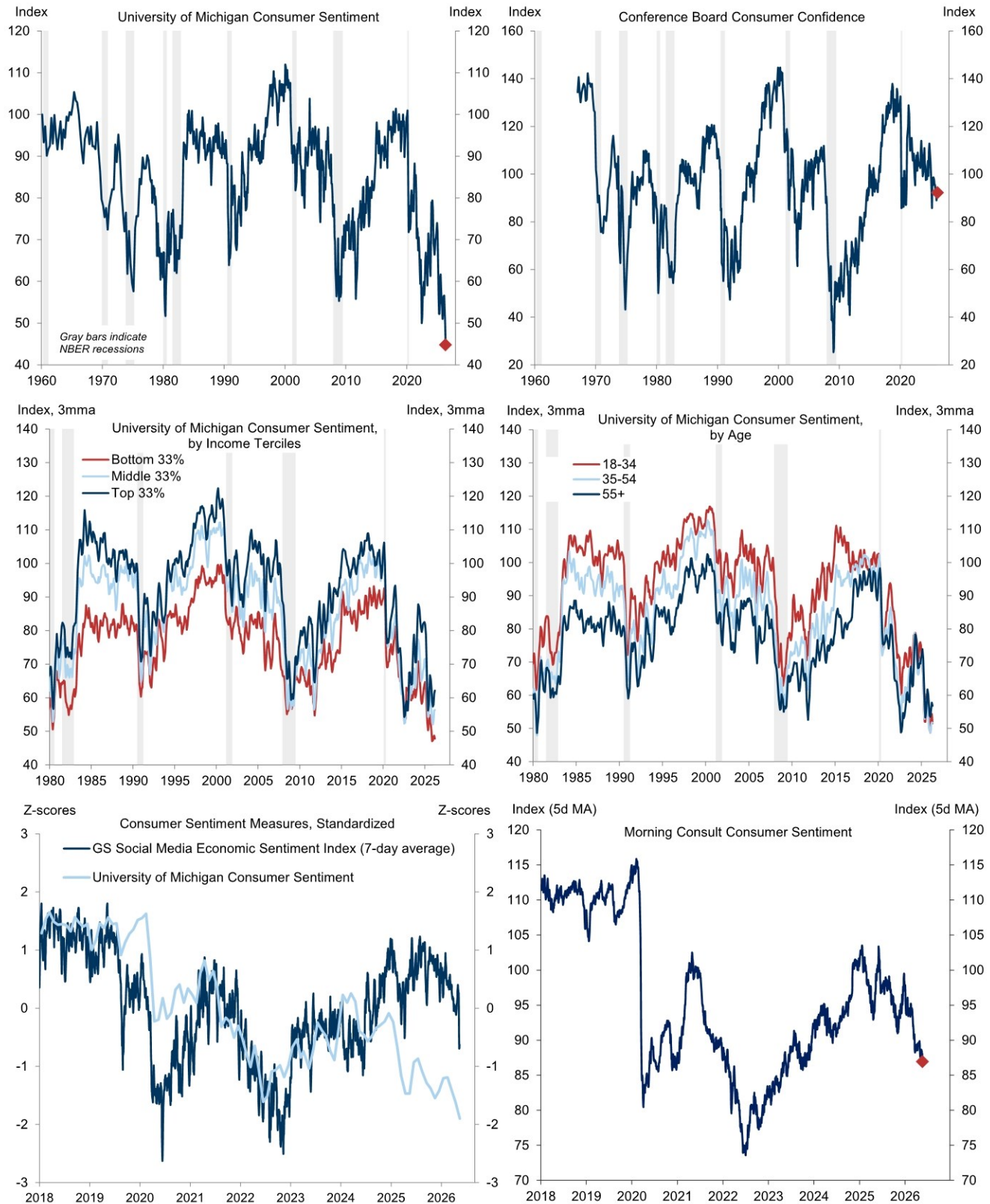
Debt

Exhibit 6: Overall Debt Levels Are Benign and Credit Growth is Weak, but Credit Card and Subprime Auto Loan Delinquencies Remain Elevated



Source: Federal Reserve Board, US Federal Reserve Bank, Goldman Sachs Global Investment Research

Consumer Confidence and Sentiment

Exhibit 7: Consumer Sentiment Has Pulled Back Sharply Since the Start of the War in Iran

Source: University of Michigan, The Conference Board, Goldman Sachs Global Investment Research

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